

undesirable and although it sometimes means quick profits, it more often than not means sudden and simultaneous reversals in a large number of positions, causing painful losses in a very short time.

As usual, the yearly charts get distorted by the outsized returns in 2008 but try to look beyond that. The extreme profitability, along with the equally extreme volatility that year, seem to be somewhat of an anomaly and not very likely, or even desirable, to be repeated any time soon. Still, these figures with the average sector returns for the strategy, along with the long and short side should help clarify where the profits and losses come from.

Looking at the sector results in Figure 5.10, the following can be observed:

- Rates show an overwhelming amount of positive years and quite a few outsized returns on the positive side.
- Equities play a relatively minor role in comparison to rates and commodities. The most eye-catching year for equities should be 2008, which I will return to later.
- Non-agricultural commodities had a generally positive contribution, with two truly outsized positive years, in 1996 and 2008.
- Agricultural commodities sector shows strong overall performance with multiple stellar years.
- Currencies rarely make big waves and have about half of the years in the black, but tend to win more on good years than they lose in bad years.

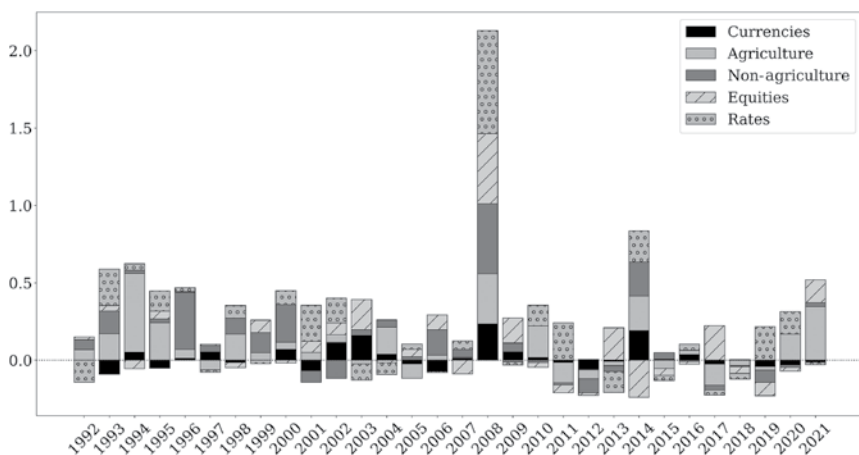


FIGURE 5.10 Yearly sector attribution.